First Solar (NASDAQ: FSLR) — Long

Charles Drake-Brockman · 14 October 2026 · Price $186 (13 Oct close) · github.com/Charliedrakebro/fslr-long-thesis

> **Long, base-case value $238 (+28%).** The market prices First Solar as if its profits disappear when the US manufacturing tax credit (45X) phases out in 2030–32. It is not pricing the reset in contract prices that the new Section 232 import floor makes likely before then.

First Solar is the largest US solar module maker and the only one at scale using thin-film (cadmium telluride) rather than Chinese-dominated crystalline silicon. It has a 45.1 GW contracted backlog running to 2030 and no net debt.

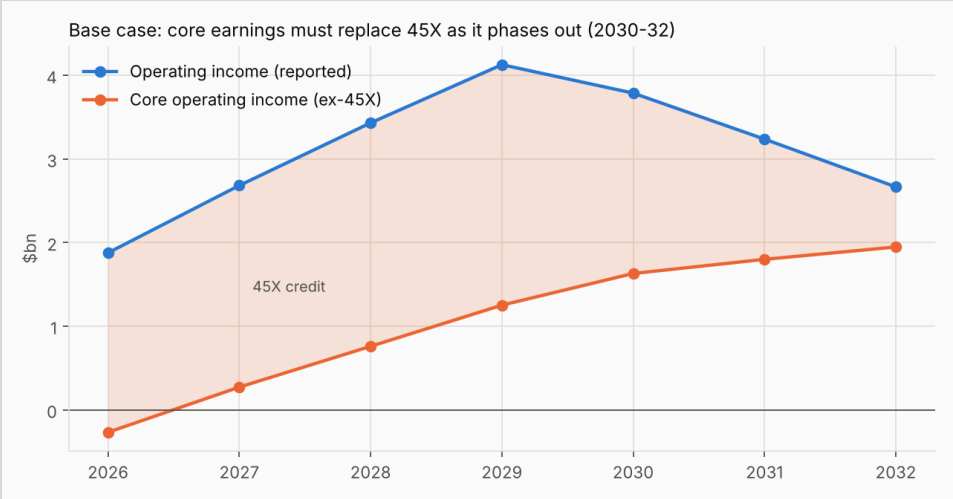
Market capitalisation	~$20.0bn
Net cash (30 Jun 2026)	~$1.7bn
Forward P/E (next 12 months)	~8.5x
Share price, year to date	−29%
Share price vs June high ($318)	−43%
Base-case DCF value	$238 (+28%)
Probability-weighted (25/50/25)	$224 (+20%)
Bear / bull	$82 (−56%) / $337 (+81%)

INVESTMENT THESIS

1. The market is pricing the 45X cliff, not the repricing

Almost all of today's profit is a tax credit. On 2026 guidance, 45X credits of $2.10–2.19bn make up about 86% of gross profit of $2.4–2.6bn; without them the business would make a small operating loss this year. The credit is worth about $0.167 per watt of US output, stays at 100% until 2029, steps down to 75%, 50% and 25% in 2030–32, and ends after 2032.

The market has priced that in hard. At $186, and on base-case volumes, the present value of the 45X stream plus net cash is about $11bn. That leaves about $9bn for the core manufacturing business, which the base case has earning $1.9bn of operating profit by 2032.



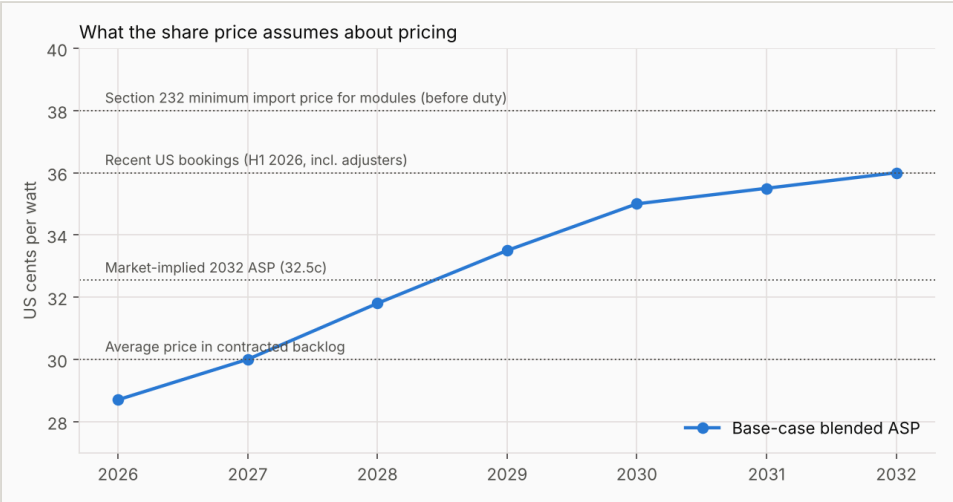
Base case, $bn. The shaded gap is the 45X credit; core earnings must replace it as it phases out.

2. Contract prices are about to reset upwards

The 45.1 GW backlog is worth about $13.6bn, roughly $0.30 per watt, much of it signed when imported modules set the price. New US bookings in H1 2026 cleared at about $0.36/W including adjusters. From 4 December 2026, Section 232 sets a minimum import price of $0.38/W on modules plus a duty of generally 15%, so imports can no longer undercut US supply. As the backlog rolls off, First Solar's blended price should move towards what it signs today. On ~21 GW a year, each cent per watt adds about $210m of gross profit.

3. The share price needs only modest repricing to work

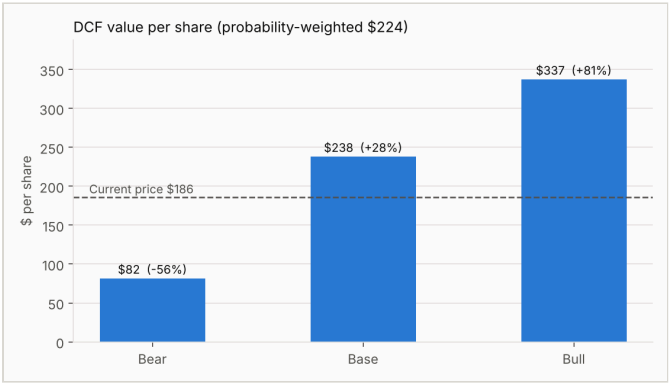
Solving the model for today's price gives an implied 2032 blended selling price of **$0.325/W**: above the backlog average, but below current US bookings and well below the import floor. The fall in the shares came from a lower multiple, not lower earnings: consensus EPS for 2026–27 is within 1% of its level 90 days ago. The drivers were policy uncertainty before the Section 232 ruling, rising yields and weak bookings while customers waited for clarity. The ruling has now landed.



US cents per watt. The market-implied price sits barely above the backlog average.

VALUATION

DCF as at 31 December 2026: 2027–32 cash flows discounted at a 10% WACC, plus a terminal value on core earnings only (2% growth, no 45X). Earnings are split into *core* (revenue − cost of sales − opex, taxed at 21%) and *45X* (US output × ~$0.167/W × the statutory phase-down, untaxed, sold at a 4% discount). The base case reproduces 2026 guidance (net sales $5.05bn, gross profit $2.50bn, 45X $2.15bn), and its 2027 EPS of $24.40 is within 1% of the $24.30 consensus.



DCF value per share against the current price.

Scenario	What has to happen	2032 price	Value
Bull (25%)	Floor tightens the market; new contracts near landed import cost; 24 GW	$0.39/W	$337
Base (50%)	Backlog rebooked near current US bookings; 21 GW	$0.36/W	$238
Bear (25%)	Section 232 diluted; imports re-route; 17 GW; terminal value floored at zero	$0.28/W	$82

Base-case value per share by 2032 selling price and WACC. Price matters more than the discount rate: each 2 cents per watt moves value by about $30 a share, each point of WACC by about $20.

WACC	$0.30/W	$0.32/W	$0.34/W	$0.36/W	$0.38/W	$0.40/W
9%	$158	$193	$228	$263	$298	$333
10%	$148	$178	$208	**$238**	$268	$299
11%	$139	$166	$192	$219	$245	$272
12%	$132	$156	$179	$203	$226	$250

The skew is not symmetric: the bear case loses more than the base case gains. The pitch rests on the Section 232 floor holding, which is why it is the first thing to monitor.

CATALYSTS

When	Event	What to watch
Late Oct 2026	Q3 2026 results (date TBC; Q3 2025 reported 30 Oct)	Bookings volume and price since the Section 232 ruling
4 Dec 2026	Section 232 minimum import prices and duties take effect	Import volumes and US module quotes
Feb 2027	Q4 results and 2027 guidance	First full-year view with the floor in place
Mid-2027	South Carolina finishing facility, phase 2	Higher US share of output, so more 45X per GW
Through 2027	New multi-year contracts	Where US prices clear vs the $0.30/W backlog

RISKS AND WHAT WOULD MAKE ME WRONG

Risk	Why it matters	Watch	Effect on value
Section 232 diluted or challenged	Imports set the price again; repricing never comes	Exemptions, court challenges	Bear case: $82
Bookings stay weak	H1 2026: 2.8 GW booked vs 7.6 GW sold; volume falls before price rises	Book-to-bill, debookings	~$13 per GW of annual volume lost from 2027
45X cut early	In statute, but a political target	Tax legislation	~$44 if it ends after 2028
Securities litigation	Class action over tariff disclosures (E.D.N.Y. 26-cv-03787), early stage	Motion to dismiss	Cost and headline risk
Higher rates	Project economics and multiple are rate-sensitive; −10% on 24 Sept as yields rose	10-year Treasury	~$20 per point of WACC
Technology	Crystalline silicon keeps getting cheaper	Efficiency roadmap; ~$110m perovskite R&D	Pressure on long-run price

SOURCES

- First Solar Q2 2026 results, 8-K — guidance, balance sheet, 45X
- Q2 2026 earnings slides (Investing.com) — backlog value, bookings, pricing
- Section 232 proclamation (Hunton) — minimum import prices and duties
- Section 45X rates and phase-down
- Consensus estimates (Barchart via inkl); valuation context (TIKR)
- Class action (pv magazine USA); US market data (SEIA Q3 2026)

Personal research for educational purposes. Not investment advice. Model and assumptions: github.com/Charliedrakebro/fslr-long-thesis